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LINE 1

22-CIV-03022

ANTHONY FREEMAN VS. SHELLPOINT MORTGAGE SERVICING, ET AL.

ANTHONY FREEMAN
SHELLPOINT MORTGAGE SERVICING

DAVID A. BUTLER

DEFENDANT NEWREZ LLC DBA SHELLPOINT MORTGAGE SERVICING'S MOTION TO SET ASIDE DEFAULT

TENTATIVE RULING:

Defendant NewRez LLC dba Shellpoint Mortgage Servicing moves to set aside default previously entered against it in this action.

Defendant's motion to set aside default is GRANTED.

Defendant's request for judicial notice of several federal court documents filed in the Central District of California concerning a Trademark Violation Action filed by Defendant against John Brosnan, Shellpoint Mortgage Servicing (a California corporation), and Shellpoint Mortgage Servicing LLC, is GRANTED. (See Defendant's RJN, Exs. E-H.)

BACKGROUND

Plaintiff initiated this action on July 25, 2022. Plaintiff filed a proof of service purporting to have served Defendant by substituted service on September 6, 2022. On October 18, 2022, the Court entered a default against Defendant, upon Plaintiff's request. Plaintiff then failed to file any request for default judgment against Defendant over the next three years, despite numerous continuances granted by this Court. On June 16, 2025, Plaintiff filed a First Amended Complaint.

Defendant filed the instant motion to set aside default on April 13, 2026. As addressed further below, Defendant alleges that Plaintiff failed to serve Defendant with process and, instead, inadvertently served an unrelated entity, Shellpoint Mortgage Servicing LLC, which has infringed on Defendant's trademark and has since been enjoined from accepting service on behalf on Defendant. (Barnes Decl., ¶¶ 9-11; Defendant's RJN, Exs. E-H.) Defense counsel claims he only became aware of this action through discussions with Plaintiff's counsel in a separate action between the parties and only became aware of the defective service and erroneous default against Defendant when the court clerk rejected a demurrer he attempted to file in this action on November 12, 2025. (Cahill Decl., ¶¶ 3-5.)

LEGAL ANALYSIS

Code of Civil Procedure, section 473, subdivision (d) is proper basis for setting aside the default for lack of service of process. The statute provides:

The court may, upon motion of the injured party, or its own motion, correct clerical mistakes in its judgment or orders as entered, so as to conform to the judgment or order directed, and may, on motion of either party after notice to the other party, set aside any void judgment or order.

(Code Civ. Proc., § 473, subd. (d).)

Because service and default are allegedly void on their face, the court has the power to vacate the default **at any time** upon a reasonable showing. (*California Capital Ins. Co. v. Hoehn* (2024) 17 Cal.5th 207, 215, 225.) Thus, motions to set aside a default made on the grounds that service and the default were void on their face are not subject to the time limitations of Code of Civil Procedure section 473.5. (*Id.*, at p. 225 [holding that “a section 473(d) motion to vacate judgment that is void for lack of proper service is not subject to the judicially imposed two-year limitation.”].)

The provisions of section 473 are to be liberally construed and sound policy favors determination on the merits. (*Maynard v. Brandon* (2005) 36 Cal.4th 364, 371.) Because the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default. (*Id.*, at p. 371-72.)

Here, Plaintiff’s proof of service purporting to serve Defendant Shellpoint Mortgage Servicing was served on Stephanie Cho, a manager authorized to accept service, at 3680 Wilshire Blvd, Suite P04-1313, Los Angeles, CA 90010. (Proof of Service, filed October 18, 2022.) However, as indicated on the California Secretary of State’s website, Defendant’s registered agent for service is Corporation Service Company, located at 2710 Gateway Oaks Drive, Suite 150N, Sacramento, California, 95833. (Barnes Decl., ¶ 5, Ex. A.)

Defendant explains that the confusion regarding service of process is the product of an unrelated entity – Shellpoint Mortgage Servicing LLC – infringing on Defendant’s trademark. (MPA, 3:26 – 4:17; Defendant’s RJN, Exs. E-H.) In December of 2022, Defendant filed a lawsuit in federal court against John Brosnan and his entity, Shellpoint Mortgage Servicing LLC, for violation of the Lanham Act and Trademark Infringement. (Defendant’s RJN, Ex. E.) On January 30, 2023, the district court entered an order granting the motion for preliminary injunction and entered a Preliminary Injunction which, *inter alia*, enjoined Brosnan and Shellpoint Mortgage Servicing LLC from “accepting service of process or other documents intended for NewRez LLC dba Shellpoint Mortgage Servicing, including summonses, complaints, subpoenas, or any other legally-required notices naming or involving NewRez LLC dba Shellpoint Mortgage Servicing.” (*Id.*, Exs. E, F.) The Court thereafter entered a default judgment and permanent injunction against Defendants Shellpoint Mortgage Servicing (a California corporation) and Shellpoint Mortgage Servicing LLC, permanently enjoining John Brosnan and his entities from using or applying the registered mark “Shellpoint Mortgage Servicing,” or any confusingly similar designation, as a trademark, business name, domain name, email address, or otherwise. (*Id.*, Ex. H.)

Defendant’s counsel Jonathan Cahill has submitted a declaration stating that he only became aware of this action through conversations with Plaintiff’s counsel in a separate action between

the parties. (Cahill Decl., ¶ 3.) Mr. Cahill states that Plaintiff's counsel never informed him that a default had been sought or entered against Defendant in this action. (*Ibid.*) The parties engaged in settlement discussions and, when those failed, they met and conferred regarding demurrers in both actions. (*Ibid.*) On November 12, 2025, after the court rejected a demurrer filed by Defendant in this action, Mr. Cahill reviewed the Register of Actions and discovered that a proof of service had been filed showing service on an unrelated entity and that a default had been entered against Defendant on the basis of that defective service. (*Id.*, ¶¶ 4,5.) Mr. Cahill then addressed the issue with Plaintiff's counsel via email and telephone numerous times through February of 2026 and was repeatedly assured that counsel was discussing setting aside the default with his client. (*Id.*, ¶ 6, Ex. C.)

Plaintiff argues that a defendant may not attempt to avoid service by adopting the same name as another entity to confuse plaintiffs and that alter ego liability applies where a defendant utilizes separate corporate structures to avoid liabilities or circumvent statutory requirements. (Oppo., 4:10 – 8:15.) However, Plaintiff has submitted no evidence supporting that Shellpoint Mortgage Servicing LLC is affiliated with Defendant or that Defendant has deliberately adopted its name to confuse litigants and evade liability.

Based on the evidence submitted by Defendant, the Court finds that Plaintiff failed to serve Defendant with process in this action. The default entered against Defendant is therefore void. Under Code of Civil Procedure, section 473, subdivision (d), the Court can set aside the erroneous default at any time. (*California Capital Ins. Co. v. Hoehn* (2024) 17 Cal.5th 207, 215.) The Court finds good exists to do so here.

Accordingly, Defendant's motion to set aside default is GRANTED. Defendant shall file its demurrer (or other responsive pleadings if the parties are able to resolve their issues) within five days after notice of entry of order.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Defendant shall prepare for the Court's signature a written order consistent with the Court's ruling, pursuant to California Rules of Court, Rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court.

2:00 PM

LINE 2

23-CIV-00420 JESSICA GONZALEZ VS TABITHA DATTE

JESSICA GONZALEZ
TABITHA DATTE

DAVID BIBIYAN

COMPLIANCE HEARING

TENTATIVE RULING:

On November 4, 2026 with written order filed November 24, 2025, this court provided approval of the settlement in this Private Attorney's General Act (PAGA) case and the court set a compliance hearing for July 21, 2026.

On July 14, 2026, Yesenia Henriquez of Phoenix Settlement Administrators (Phoenix), the settlement administrator, filed a declaration setting forth the work that Phoenix performed to disburse the settlement funds, and to comply with its obligations under the settlement agreement and this court's order.

According to Henriquez's declaration, all disbursements have been made and the time for cashing the checks has passed (the deadline was July 2, 2026). Phoenix updated settlement members' addresses. The declaration states that there are 115 checks, totaling \$7,575.99 that remain uncashed. As previously ordered, the court orders Phoenix to remit the uncashed funds to the Legal Aid at Work. Phoenix is ordered to file in this court a declaration within seven days of notice of entry of order confirming that the funds have been remitted to Legal Aid at Work with instructions that the funds are for use in San Mateo County. The declaration shall be filed, served, and emailed to Department 4. Once this declaration is filed, the case will be fully resolved and shall be closed upon the filing of Phoenix's declaration confirming the remitting of the funds.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, counsel for plaintiff shall prepare a written order consistent with the court's ruling for the court's signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.
